Cambridge (CIE) A Level Business

Your notes

Business Objectives

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The role of objectives in business decision making

- Objectives provide a **sense of direction** and **focus** to those running and making decisions within a business
  - Objectives act as **targets**
    - Decisions that contribute to achieving these targets can be pursued, whilst those that make little contribution can be discarded
    - **Poor decisions** that fail to achieve objectives can be avoided in future and may inform **management training**
  - Objectives allow **success criteria** to be determined and **outcomes** to be measured
    - Suitable **strategies** that have the greatest chances of success can be implemented
    - Inappropriate or risky strategies may be avoided

The hierarchy of aims, mission and objectives

- A business's **aim** is its **long-term direction,** which is usually **broadly stated** and often **aspirational**
  - It is usually **set by senior executives**
  - E.g. To be the most successful independent coffee shop chain in the country
- Some businesses express their aim in a **mission statement**
  - Mission statements usually include words or attractive phrases that appeal to key **stakeholders**
  - E.g. Bring the World of Coffee to Every Neighbourhood
- **Business objectives** are derived from the aim and mission
  - Objectives state, **specifically** and in **measurable** terms, what the business **wants to achieve**
  - E.g. Increase sales of coffee by 25% in 2024
    - **Corporate objectives** are whole-business targets
    - **Functional objectives** are derived from corporate objectives and describe the targets of business departments or functional areas
- The link between a business's aim, mission and objectives can be illustrated as a **hierarchy**

The hierarchy of aims, mission and objectives

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The business aim informs its mission, corporate objectives and functional objectives

SMART Objectives

- The most effective objectives are **clearly stated** and allow **progress to be assessed**
- These types of objectives can be summarised using the acronym **SMART**
  - **S**pecific: what exactly the business is measuring, such as the value of sales or sales volume
  - **M**easurable: a quantifiable success measure, such as a percentage increase
  - **A**greed; the objective is shared with workers and perhaps mutually agreed
  - **R**ealistic: Ambitious, but capable of being achieved in normal circumstances
  - **T**ime-bound: a date or time by which the objective should be achieved

Example of a SMART Objective

INCREASE THE VOLUME OF ANNUAL SUBSCRIPTION RENEWALS BY 12% DURING Q3 2023

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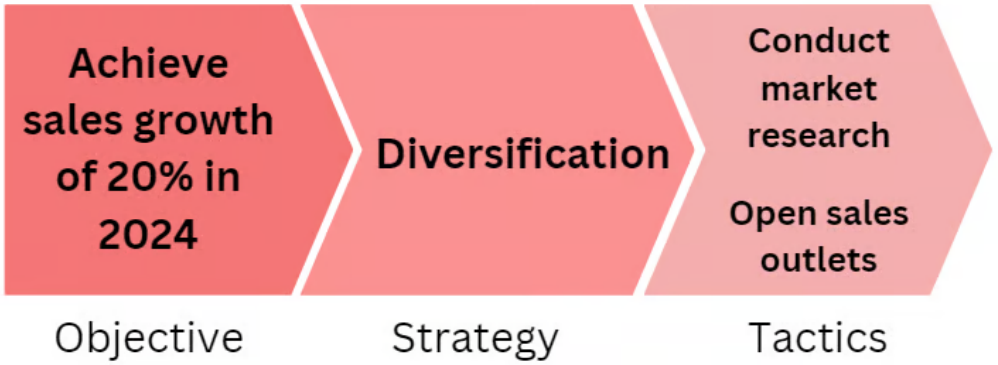
This objective is specific, measurable and time-bound

Strategy and tactics

- A business strategy is a **long-term approach** a business adopts **to achieve its key objectives**
  - E.g., A business pursuing an objective of **growth** may choose to adopt a strategy of **diversification**, targeting new customers with innovative products
- Tactics are the **short-term actions** a business takes as **part of its overall strategy**
  - A business pursuing a strategy of **diversification** may choose to adopt the tactic of conducting research in the target market before establishing sales outlets in a new location



Businesses decide on a suitable strategy to achieve their objectives, which informs short-term tactics

Strategy, tactics and budgets

- Once tactics have been determined, managers can **set targets** and **allocate budgets** to teams and individuals
- Adhering to budgets and meeting these targets **contribute to achieving the overall business objectives**
  - Careful **monitoring** and **adjustment**, taking account of the **external environment**, is crucial
    - Budgets may need to be increased or more tightly controlled
    - If targets change, their impact on the likelihood of achieving objectives will need to be considered
    - Further resources may be required to meet deadlines or achieve budgetary targets

Examiner Tips and Tricks

This topic area contains a large number of key terms that you could be asked to define or explain in an exam.

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Whilst 'define' questions simply ask for the meaning of a key term, you need to remember that 'explain' questions will need some reference to the business scenario you are given.

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How objectives change over time

- Businesses operate in a **dynamic environment,** which may require them to pivot between different **objectives**
- These changes are often necessary to ensure that the business **remains competitive, profitable, and compliant with regulations**

Factors that cause business objectives to change over time

Factor	Explanation	Example
Market conditions	▪ Market conditions such as competition, demand, and **changing consumer price sensitivity** can have a significant impact on a business's aims and objectives	▪ Uber and Lyft were initially focused on **capturing the largest share** of the ride-hailing market (market share) ▪ As competition intensified, both companies **shifted their focus to profitability,** and their objectives changed accordingly (profit maximisation)
Technology	▪ A business may shift its focus from traditional brick-and-mortar retail to online retail as **technology allows for a more cost-effective way** to reach customers	▪ Amazon began as an **online bookstore**, but as technology advanced, it expanded into a wide range of retail categories such as electronics, clothing and groceries ▪ Their objective changed from **increasing market share** to **market development**
Performance	▪ If a business is not meeting its **sales goals** in one area, it may change its objectives to try an **improve its financial performance** ▪ In some cases, this may involve **retrenchment** (moving out of existing markets)	▪ In 2018 Ford announced that it was shifting its **focus away from producing passenger cars** and focusing more on SUVs and trucks ▪ The move was driven by the company's poor financial performance and the new objectives were aimed at **improving sales and profitability**
Legislation	▪ A company may need to shift its focus to comply	▪ With the passage of the Affordable Care Act in the USA in

	with new regulations or **capitalise on new opportunities** created by **changes in legislation**	2014, **healthcare providers** had to adjust their aims and objectives to comply with new regulations and take advantage of new opportunities created by the law
Ethics and social change	▪ Over time, attitudes towards **social issues** and what is considered to be **right and wrong** develop, forcing a business to change its objectives	▪ Until the 1950s, tobacco companies' marketing objectives included **promoting health-giving effects of smoking** and increasing sales to young people ▪ By 2023, British American Tobacco (BAT) had changed its sales objective 'To have 50 million consumers of our non-combustible products by 2030'
Internal reasons	▪ Factors such as changes in **management** or the **company culture** can also influence a business's aims and objectives ▪ **Innovation** or advances in processes might mean that more ambitious objectives may be set	▪ In 2014, Microsoft appointed Satya Nadella as the company's CEO ▪ He shifted the company's **focus from software to cloud services** and the company's objectives changed accordingly

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Communicating the business objectives

- Communicating the business objectives effectively, helps to ensure that **employees are all working towards the same purposes**
  - A range of other stakeholders benefit from this too
- Businesses share objectives with key stakeholders in a range of ways
- **Public limited companies** publish an **annual report** that shows a company's operations and financial performance in the preceding 12 months and details the objectives it expects to achieve over the next twelve months
  - **Shareholders** and **potential investors** can use this information to determine the likely return on investment they will receive
- Businesses often share their **mission statement** in marketing materials such as brochures or via their websites
  - **Customers, employees** and the **local community** are often interested in understanding the broad aim of a business in which they have an interest
- Objectives are also commonly shared with employees in **business meetings** and, particularly, during the **appraisal** process

- Individual targets can be set for workers that set out the contribution they will make to achieving objectives
- Performance of staff can be measured and rewarded
- Understanding their role in meeting objectives can be a powerful **intrinsic motivator**

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Ethics and objectives

- Many businesses consider the **ethical impact of their decisions** and are increasingly adopting an ethical approach in their decision making, including the setting of aims and objectives
- Some have adopted an **ethical code of practice** that provides a framework for **responsible and fair strategic** decision making and provides **guidelines on staff behaviour**

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The objectives of private sector businesses

- Private sector businesses usually aim for **commercial success**
- In order to achieve this, they commonly pursue a limited range of objectives

Common objectives in the private sector

Objective	Explanation
Profit maximisation	▪ Most firms have the **rational** strategic objective of profit maximisation ▪ Profit = Total Revenue (TR) - Total Costs (TC) ▪ To maximise profits, firms can either **increase their sales revenue** or **decrease their costs** ▪ Firms continuously analyse their costs to see if they can reduce them so that profit can be maximised
Growth	▪ Firms with a growth objective often focus on increasing their **sales revenue** or **market share** ▪ Firms will also **maximise revenue** in order to increase output and benefit from **economies of scale** ▪ A growing firm is **less likely to fail**
Ethics and social responsibility	▪ An increasing number of firms are launching with **ethical** or **socially responsible objectives** ▪ These typically include a focus on **climate action & addressing poverty** or **inequality** ▪ They still **require profit to survive**, but will accept less than if they were **profit-maximising** as long as they are meeting their social objective

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Survival	▪ Challenging market conditions and difficult periods of change or crisis can require a focus on **keeping the business going** ▪ Survival is also a common **strategic objective for new business start-ups** and careful cash-flow management is likely to be at its core ▪ The recent **pandemic** required many businesses to adopt a short-term survival objective, with many taking advantage of government support to enable them to continue trading and recover
Protecting shareholder value	▪ A common objective for public limited companies where the **value of shares** and **dividends payable** to shareholders are important metrics ▪ Strategic objectives may seek to protect shareholder value above all else ▪ Having this objective will help to **encourage new investors** and satisfy existing shareholders

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Public sector objectives

- The **public sector** refers to organisations that are **owned or controlled by the government**
- The **main goal** of organisations in the public sector is usually to **provide services** such as education, healthcare or emergency services that may not be provided by private sector businesses
- Public sector organisations tend to be focused on service objectives, including
  - The provision of **reliable and efficient services** at a reasonable cost
  - Meeting **performance targets** set by the government
  - Encouraging **social and economic development**
  - Creating **jobs** or increasing **employment levels**
- Public sector organisations may also set **financial objectives** to provide a return to the government to reinvest
  - Although not the primary aim, having a positive financial return in the public sector is generally welcomed by governments

The objectives of social enterprises

- Social enterprises operate in the private sector but **do not have making a profit as their primary focus**
  - They seek to make a profit in order to spend the money on achieving their social objectives

- Objectives mayinclude:
  - **Social:** to provide jobs and support for disadvantaged groups in society, such as the disabled or homeless
  - **Environmental:** to protect the environment
  - **Ethical**: to operate the business in a responsible way
  - **Financial:** to make a profit to invest back into the social enterprise to expand the social work that it performs
- **Butterfly Books** is a social enterprise that publishes children's educational books in the UK
  - Their aim is to 'work to educate, inspire and entertain children, aiming to change future generations by reducing gender bias in job roles'
  - A recent book entitled 'My Mummy is an Engineer' challenges gender stereotypes

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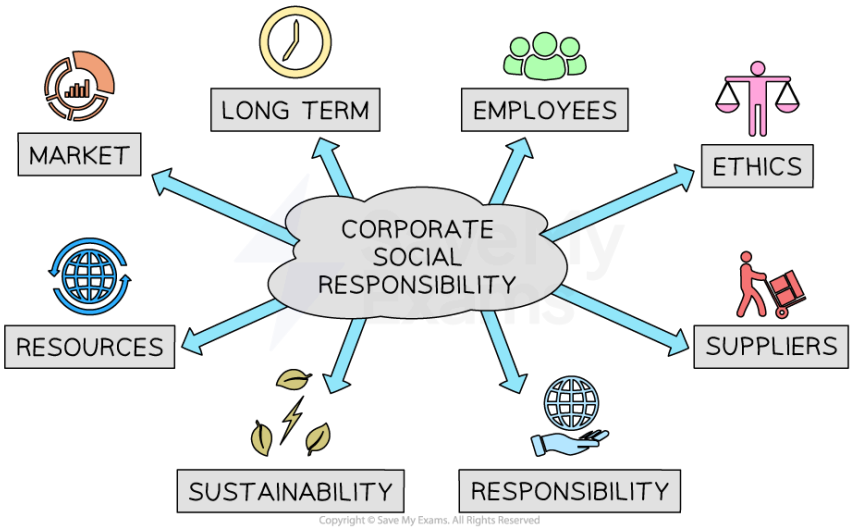
An introduction to corporate social responsibility

- **Corporate Social Responsibility (CSR)** refers to the concept that businesses have a responsibility to consider and positively impact society **beyond their economic interests**
- It is a framework through which companies **voluntarily integrate social and environmental concerns** into their business operations and interactions with stakeholders



Corporate social responsibility goals can be focused on a range of different stakeholders

- CSR involves taking into account the **impact of business activities on various stakeholders**, including employees, customers, communities, the environment, and society at large
- CSR **goes beyond legal compliance** and strives for companies to actively contribute to sustainable development and societal well-being

Examples of socially responsible activities

Sustainable sourcing of raw materials and components

- Japanese fashion retailer **Uniqlo** has moved towards an eco-friendly strategy in recent years, focusing on technologies that make the production of **new clothing from recycled materials** possible

Responsible marketing

- **Marks and Spencer** ensures that it never actively directs any marketing **communications to children under the age of 12** and does not directly advertise any products high in fat, sugar or salt to children under the age of eighteen

Protecting the environment

- Multinational coffee chain **Starbucks** offers discounted coffee for customers with a branded multi-use cup

Responsible customer service

- *John Lewis's* famous 'Never Knowingly Undersold' slogan refers to the company's commitment to **checking competitor prices regularly** to ensure that the price its customers pay is the lowest available in the local area at that time

Reasons for implementing CSR

- Business set ethical or socially responsible objectives for a range of sound **commercial** reasons
- Common reasons that support setting CSR objectives include:

1. **Improved reputation**
   - CSR can **enhance** the business image and reputation and improve its attraction to many **stakeholders**
     - Operating in a socially responsible way is likely to be attractive to both existing and potential **customers**
     - It should lead to positive **media** coverage
     - The business may be able to retain and attract quality **workers** to fill job roles
     - It may be looked upon favourably by **investors**, especially those who prefer ethical investment
2. **Added value**
   - CSR can be very profitable as it **adds value**
     - In competitive markets, CSR can provide a differentiating **USP** that may mean the business can use **premium pricing**
     - E.g., Tony's Chocolate's, whose mission is to be commercially successful whilst being committed to using cocoa only from slavery-free sources, **is able to charge around 200% more** for its products than its mass market rivals
3. **Employee morale and motivation**
   - CSR may improve employee **motivation** and **productivity**
     - Workers are more likely to feel **connected** to a business that 'does the right thing' and may be more inclined to work hard to ensure that the business is a success
     - Employees are also **less likely to leave** the business or take time off work
4. **Solve social problems**
   - CSR may help to solve **social problems,** e.g. resource depletion

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- Businesses that adopt CSR objectives are likely to understand that they can play a key role in **solving some of the emerging social, ethical and environmental problems** faced by communities around the world
- E.g., Businesses that look to minimise the use of fossil fuels in production processes will be making a small contribution to global efforts to combat climate change

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Elkington's triple bottom line

- **The Triple Bottom Line model** highlights that business performance may be measured in a number of ways in relation to
  - Its **finances (Profit)**
  - Its **environmental impact (Planet)**
  - How **socially responsible** it is in relation to employees **(People)**
- Elkington argued that only a company that was measuring performance in all three areas of **people, profit and planet** was considering the **full costs of its activities**
  - If all these areas are measured, business owners and employees are likely to pay attention to them and **change their behaviour** accordingly, rather than just focusing on profit
  - As a result, **sustainability** both within the business and, if adopted widely, across the economy as a whole, should be improved

Elkington's triple bottom line

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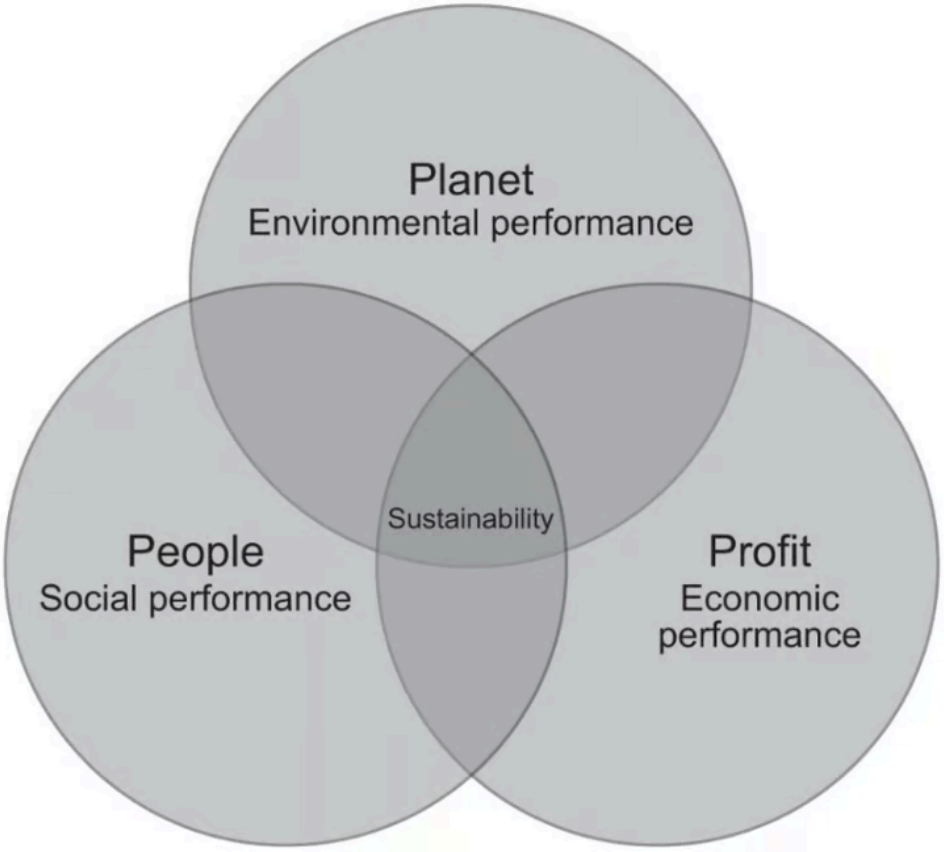

Elkington's Triple Bottom Line model suggests that businesses should consider their impact on people and the environment alongside financial metrics to fully understand their performance

Examiner Tips and Tricks

You should consider both the short-term and long-term impacts of adopting a socially responsible approach. Whilst costs of implementing socially responsible policies may be significant in the short term and cause disruption as change is implemented, business sustainability is likely to be improved, and, over time, a better business reputation can be a key factor in increasing sales.